The salient features of the Act are as follows:

1. The State Government may constitute Commercial Courts at District level for the purpose of exercising the jurisdiction over the commercial disputes of a specified value. But, the State Government may, with respect to High Courts having ordinary original civil jurisdiction, constitute Commercial Courts at the District Judge level.

2. The State Government may, except the territories over which the High Courts have ordinary original civil jurisdiction, designate Commercial Appellate Courts at District judge level to exercise the appellate jurisdiction over the commercial courts below the district judge level.

3. In all High Courts having ordinary original civil jurisdiction, the Chief Justice of the High Court may constitute Commercial Division for the purpose of exercising the jurisdiction over the commercial disputes of a specified value filed in the High Court.

4. The Chief Justice of the concerned High Court shall constitute Commercial Appellate Division to hear the appeals against the orders of the Commercial Courts at the District judge level and the orders of the Commercial Division of that High Court.

5. The specified value of commercial disputes shall not be less than 3 lakh rupees or such higher value which may be notified by the Central Government. In 2018, the specified value of commercial disputes was reduced from the earlier 1 crore rupees to 3 lakh rupees.

6. A provision is made for compulsory mediation before institution of a suit which does not contemplate any urgent interim relief. In this regard, the Pre-Institution Mediation and Settlement Mechanism is introduced. Further, the Central Government may empower the Authorities constituted under the Legal Services Authorities Act, 1987, for the purposes of pre-institution mediation.

[1]This information is adopted from the website of the Department of Justice, Ministry of Law and Justice, Government of India.

[2]*P.T. Thomas* vs. *Thomas Job* (2005).

[2a]Annual Report 2020-2021, National Legal Services Authority, p. 37.

[2b]This information is obtained from the official website of the National Legal Services Authority.

[3]*P.T. Thomas* vs. *Thomas Job* (2005).

[4]Law Commission of India, Report No.222 entitled as “Need for Justice-dispensation through ADR etc.,” April 2009, pp. 22–23.

[5]This information is adopted from the website of the Department of Justice, Ministry of Law and Justice, Government of India.

[6]Press Information Bureau, Government of India, September 29, 2009.